

EXECUTIVE MEMORANDUM

Alpha Manufacturing Group: ERP Transformation Programme

To: Executive Team, Alpha Manufacturing Group

From: Jesse Yaw Owusu, Digital Transformation Consultant

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Subject: ERP Transformation Programme: Strategic Approach and Recommendations

1. Executive Summary

AMG is at a point where the cost of doing nothing is becoming harder to ignore. The business is running on a 20-year-old ERP system that was not built for the kind of complex, customised orders AMG handles today. On top of that, the engineering and manufacturing teams are working off systems that barely talk to each other, and a lot of the gaps in between are being patched up with Excel spreadsheets. The result is that roughly 80% of custom orders last year lost margin they should not have lost. That is not a small problem.

This memo sets out a practical approach for replacing the legacy ERP with a modern cloud-based system, tidying up the broader technology landscape, and making sure the business keeps running normally throughout the change. The goal is to get this done within 12 months without creating new problems in the process.

2. Overall Programme Approach

Key Objectives

Before anything else, it helps to be clear about what this programme is actually trying to achieve, in order of importance:

- Fix the broken link between engineering and manufacturing so the factory stops receiving outdated product information.
- Get everyone working from the same data. Finance, engineering, and operations should all be looking at the same numbers at the same time.
- Replace the old systems properly, not just switch them off and hope for the best.
- Make sure AMG's own people can run the new system without needing outside help every time something comes up.

Phasing Approach

Trying to replace everything at once is one of the fastest ways to derail a project like this. Given how AMG operates, with customised orders that cannot afford delays, the sensible approach is to break the programme into three phases:

- Phase 1: Foundation (Months 1 to 3). Choose the new ERP platform, lock down the scope, set up a governance structure, and start cleaning the data. Nothing gets switched off yet.
- Phase 2: Configure and Migrate (Months 4 to 9). Set up the new system and run it alongside the old one at the same time. This parallel period is important because it gives the business a safety net. If something does not look right in the new system, the old one is still there.

- **Phase 3: Go-Live and Stabilisation (Months 10 to 12).** Switch over to the new system, wind down the old ones in a controlled way, and keep extra support in place for the first 30 days in case anything needs fixing quickly.

Top Risks and Mitigation

- **BOM Data Quality:** If we move inaccurate product data into the new system, we are essentially moving the problem rather than solving it. Every Bill of Materials record needs to be checked and cleaned before migration starts, not after.
- **Scope Creep:** Once a project like this is underway, there is always pressure to keep adding new requirements. Each individual request might seem reasonable, but collectively they push timelines out and inflate costs. A formal sign-off process for any changes to scope is non-negotiable.
- **Cutover Disruption:** Switching systems while active orders are in progress is risky. The go-live should be timed for a quieter period, and the old system should stay running alongside the new one for at least four weeks before it is switched off.
- **User Adoption:** The most well-built system in the world will not deliver results if people keep falling back on Excel. Getting staff properly trained and genuinely bought in is just as important as the technical work.

3. Scope and Sequencing

Day-1 Must-Haves

On the day the new system goes live, it only needs to cover what the business genuinely cannot operate without:

- Core financials: general ledger, accounts payable, and accounts receivable.
- Manufacturing and MRP: production orders and Bill of Materials management.
- Procurement: the ability to raise and track purchase orders.
- A live integration between the engineering system and the new ERP, replacing the broken nightly sync.

Deliberate Deferrals

Some things are worth doing but do not need to happen on day one. Trying to include everything at launch just increases the risk of something going wrong. The following should be handled after the core system is stable:

- CRM integration: the factory can operate without the sales system being connected on launch day.
- Advanced reporting and dashboards: there is little point building reports on data that is still settling. Wait at least one full quarter before investing in this.
- HR and payroll migration: payroll errors have real legal and HR consequences. This is better handled as a separate, carefully managed piece of work once the core ERP is bedded in.

Customisation Discipline

Modern ERP systems are built around established industry practices, and in most cases those standard processes work well. Every time AMG requests a customisation, it adds cost, slows down the project, and makes future upgrades more complicated. The working assumption should be that customisations are not done unless there is a strong, documented reason why the standard approach genuinely does not work for the business. Any exception should require formal approval from the executive team.

4. Data and Reporting Continuity

Historical Data Migration

Not everything needs to move. The new ERP only needs what is currently active: live orders, open purchase orders, outstanding invoices, and current stock levels. Anything older than three years can sit in a separate read-only archive where it is still accessible if needed but not cluttering up the new system. Trying to migrate 20 years of records is a common mistake that adds months to a project and introduces a lot of messy old data into a clean new environment.

Reporting During Transition

While both systems are running in parallel, all reports should still come from the legacy system. The switch to reporting from the new system should only happen once the numbers from both systems match up. Every key metric the business tracks, whether that is margin per order, order backlog, or labour costs, should have a named person responsible for making sure it stays accurate throughout the transition.

Month-End Close Continuity

Go-live should be timed to avoid month-end, quarter-end, and year-end close periods. Asking the finance team to close the books for the first time on a brand new system under a tight deadline is a setup for errors. The first close on the new system should be treated as a trial run with additional support available and a bit of extra time built in.

5. Conclusion

The case for acting is straightforward. AMG's current systems are actively costing the business money, and that is not going to fix itself. At the same time, rushing into a replacement without a proper plan would just create a different set of problems.

The approach in this memo, phased delivery, careful data migration, parallel operations, and a clear scope, is designed to give AMG a realistic path to a successful go-live within 12 months without putting normal operations at risk.

One final point worth making: the technology is genuinely the easier part of this. What will determine whether the programme succeeds is whether the executive team holds firm on scope, supports the people side of the change, and stays committed when things get difficult. And they will get difficult at some point. Every programme like this does.